Bhatia Communications & Retail (India) Ltd

Concall-Tracker report · Screener code 540956 (BSE) · trades as "Bhatia Mobile" · no concall transcripts — global web deep-dive · prepared 31 Aug 2026

1. Snapshot

What the business does (one line): Bhatia is a **Surat-based chain of consumer-electronics shops** trading as **Bhatia Mobile**. It buys smartphones, tablets, laptops, televisions, air conditioners and washing machines from brands and sells them to walk-in customers across western India. In plain terms: it is a physical retailer — it makes a small percentage on each item sold, so profit comes from opening more shops and selling more per shop, not from high margins.

Figure	Value	Plain-English read
Market capitalisation	**₹445 cr** (price ₹31.6)	What the whole company is worth. The share has ranged ₹18.0–33.6 over the past year and sits near the top of that range. Face value is just ₹1.
Price-to-earnings / dividend	**22.2×**; yield 0.13%	About 22 times last year's profit. The dividend is token — one paisa per share — so this is a reinvestment story, not an income one.
Q1 FY27 revenue (Jun'26 qtr)	**₹190.0 cr, up 70% YoY**	Sales in the June 2026 quarter against ₹111.5 cr a year earlier — the fastest growth the company has recorded, and a record quarter.
Q1 FY27 operating profit	**₹10.1 cr, margin 5.34%**	About 5.3 paise of operating profit on every rupee of sales. Thin — but it is the **highest margin in the company's recent history**, against 3.5–5% in every prior quarter.
Q1 FY27 net profit	**₹6.8 cr, up 90% YoY**	Profit after tax nearly doubled from ₹3.6 cr. Earnings per share ₹0.48 for the quarter.
FY26 (full year)	**₹591 cr revenue, ₹17 cr profit**	Revenue up 34% on FY25's ₹442 cr. The four-year path is ₹342 → 414 → 442 → 591 cr — growth in every year, accelerating in the latest.
Store count	**380+ (from 291 at 9M FY26)**	The core driver in one number. It was 291 stores (288 owned, 3 franchised) nine months into FY26, and the company has since run a "**90 stores in 90 days**" push across Gujarat, Maharashtra and Madhya Pradesh.
Return on capital	**ROCE 21.3%; ROE 15.2%**	For every ₹100 of capital the business earns about ₹21 a year before tax — good, and it has held near 20–22% for years despite the thin margins, because stock turns over fast.
Debt	**Debt-to-equity 0.04** (from 0.20)	Effectively debt-free, and improved sharply this quarter. Borrowings had already fallen from ₹21 cr to ₹8 cr during FY25. The expansion is not being funded by leverage.
Working capital	**Debtor days 4; inventory days ~59**	Customers pay immediately (it is a cash retail business), which is a genuine strength. But stock sits for about two months and is rising — this is where the cash goes.
Cash conversion	**FY25: ₹5 cr cash from operations on ₹20 cr operating profit**	**The main caution.** Only about a quarter of operating profit reached the bank, because opening stores means filling them with inventory first.

2. Concall coverage

No concall transcripts were available on Screener for this company — this report is based on a global web deep-dive. The gap here is unusually stark: Screener lists **27 investor-call entries** stretching back to July 2018 — including February, May and August 2026 — and carries **a transcript for none of them**. So the company has apparently been holding investor calls for eight years without an accessible public record of a single one. Management's own words cannot be checked at all; the analysis below rests entirely on filings, results releases and reported numbers.

Sources used: Q1 FY27 results (board approval 14 August 2026) and published coverage; FY26 and 9M FY26 results and coverage; BSE corporate filings; company and press material on the store-network expansion (May 2026); and Screener.in financial statements, ratios and shareholding data.

2b. Latest update highlights — Q1 FY27 (results 14 Aug 2026) ★

- **The strongest quarter on record:** revenue **₹190.0 cr, up 70% year-on-year**, and net profit **₹6.8 cr, up 90%**. For scale, this single quarter did nearly a third of the whole of FY26's ₹591 cr.
- **Margin finally moved:** operating margin reached **5.34%**, the best in the company's recent history, against a 3.5–5.0% band in every previous quarter. In a business that makes about five paise per rupee, moving the margin up a point is worth as much as a large revenue increase.
- **The engine is store openings:** the network went from **291 stores** at nine months into FY26 (288 owned, 3 franchised) to **380-plus**, driven by a "**90 stores in 90 days**" rollout across Gujarat, Maharashtra and Madhya Pradesh. Having started with a single Maharashtra store in FY23, the company is now genuinely a western-India chain rather than a Gujarat one.
- **The balance sheet got stronger, not weaker:** debt-to-equity improved to **0.04 from 0.20** — a fast retail rollout funded without leverage, which is not the usual pattern. A token interim dividend of ₹0.01 per share was declared.
- **The caution sits in the working capital.** Reporting on the quarter noted revenue growth came alongside purchases of stock-in-trade rising to **₹178.7 cr from ₹98.9 cr** and "a significant build-up of stock-in-trade". That is what opening ninety shops looks like — but it is also why, in FY25, ₹20 cr of operating profit produced only ₹5 cr of operating cash. Separately, **promoter holding fell to 69.45% from 73.88%** over the past year while foreign institutional holding rose from 0.08% to **7.54%**.

2c. Business mix & capacity (quick facts)

Domestic vs export: 100% domestic, and in fact highly regional. This is a physical shop network in western India — Gujarat (the home base, centred on Surat), plus Maharashtra and Madhya Pradesh. There are no exports and no meaningful online business; management's stated bet is explicitly the opposite one, that customers still want to walk in, hold a device and ask questions.

Product mix: began as mobile-phone retail and has broadened into **multi-product consumer electronics** — smartphones and accessories, tablets, laptops, LED televisions, air conditioners and washing machines. The stated strategy is to convert existing stores into multi-product outlets, particularly in **semi-urban** locations. This matters because it is the likeliest explanation for the Q1 FY27 margin improvement: white goods and large appliances carry better margins than handsets.

"Capacity" utilisation: for a retailer, capacity is store count and sales per store. The network stands at **380-plus stores**, up from 291 nine months into FY26 — roughly 30% growth in the store base in under a year. Sales per store are not disclosed, so no figure is quoted here; but revenue rose 70% year-on-year against a store count up roughly 30%, which implies *same-store* sales also grew materially rather than the whole gain coming from new openings. Inventory days of about 59 are the practical constraint: every new store must be stocked before it sells anything.

3. Earning Trigger thesis ★

The driver is simple, physical and countable: **open more shops across western India, and turn each shop from a mobile-phone counter into a full consumer-electronics store.** Both halves are visibly working. The store count has gone from 291 to over 380 in under a year, including a "90 stores in 90 days" push that took the chain properly into Maharashtra and Madhya Pradesh. Revenue rose 70% year-on-year in Q1 FY27 against a store base up roughly 30%, which means existing stores are selling more too. And the mix shift is showing where it matters most in a five-percent-margin business: operating margin reached 5.34%, the best on record, as televisions, air conditioners and washing machines took a larger share of the basket. The economics of the model are genuinely attractive — customers pay cash (debtor days of four), stock turns roughly six times a year, and the whole expansion has been funded without debt, with gearing actually falling to 0.04. The single reservation is cash: filling ninety new shops with stock consumed most of the profit, and in FY25 only about a quarter of operating profit converted into operating cash flow.

Trigger	What the record shows	Evidence so far	Horizon	Strength
Store network expansion	291 stores at 9M FY26 → **380+**; "90 stores in 90 days" across three states	Countable and delivered. Revenue ₹342 cr (FY23) → ₹591 cr (FY26) → ₹190 cr in a single quarter	Live	Strong
Multi-product mix shift	Converting mobile-phone stores into full electronics outlets, especially semi-urban	Operating margin at a record **5.34%** versus a 3.5–5.0% historical band — consistent with a richer basket	Ongoing	Strong
Geographic expansion beyond Gujarat	First Maharashtra store in FY23; now Maharashtra and Madhya Pradesh	Real, but young. The out-of-state stores have no track record yet and Gujarat remains the profit base	FY27–FY29	Moderate
Same-store growth	Not separately disclosed	Inferred: revenue +70% against a store base up ~30% implies existing stores grew too — but the company publishes no same-store figure to confirm it	Ongoing	Moderate
Capital-light, cash-paying model	Debtor days 4; debt-to-equity 0.04; ROCE ~21%	Verified and durable. Customers pay on the spot and the rollout has not required borrowing	Structural	Strong
Inventory absorbing the profit (risk)	Stock-in-trade purchases ₹98.9 cr → ₹178.7 cr; "significant build-up"	**FY25 turned ₹20 cr of operating profit into just ₹5 cr of operating cash.** Inventory days ~59 and rising	Now	Key risk
Structurally thin margins (risk)	~4–5% operating margin	Leaves almost no cushion. A single bad season, or brands cutting dealer margins, would hurt disproportionately	Structural	Caps upside
Online and big-chain competition (risk)	Management's bet is explicitly that physical proximity still matters	A reasonable thesis in semi-urban India, but it is a bet against Amazon, Flipkart, Reliance Digital and Croma	Structural	Structural risk

4. Management Consistency scorecard

Read this as **severely limited**. Twenty-seven investor calls are listed since 2018 and not one transcript is publicly accessible, so there is no record of what management has told analysts. This grades only what the filings and numbers show.

Period	What was signalled	What actually happened	Verdict
FY23 → FY26	Grow the retail network and revenue	Revenue ₹342 → 414 → 442 → ₹591 cr, up every single year and accelerating; profit ₹8 cr → ₹17 cr	**Delivered**
FY23 onward	Expand outside Gujarat, starting with Maharashtra	First Maharashtra store opened FY23; network now spans Gujarat, Maharashtra and Madhya Pradesh at 380+ stores	**Delivered**
FY26	Accelerate store openings	"90 stores in 90 days" executed; count went 291 → 380+	**Delivered**
Ongoing	Convert stores to multi-product formats in semi-urban markets	Margin reached a record 5.34% in Q1 FY27, consistent with the mix shift working	**Delivered**
FY25 → Q1 FY27	Fund growth without leverage	Borrowings ₹21 cr → ₹8 cr in FY25; debt-to-equity now 0.04 from 0.20. A fast rollout genuinely self-funded	**Delivered**
FY25 onward	—	**Cash conversion weak** — ₹5 cr of operating cash on ₹20 cr of operating profit in FY25, with inventory days rising to ~59 and a further build-up flagged in Q1 FY27	**Watch**
Past year	—	**Promoter holding fell 73.88% → 69.45%** while foreign institutional holding rose 0.08% → 7.54%. Shareholder count fell from ~22,600 to ~20,000	**Watch**
2018–2026	—	**27 investor calls listed, zero transcripts published or accessible.** Eight years of calls with no public record	**Disclosure gap**

Narrative drift: On the evidence available there has been none — but the evidence available is thin, and that is the finding. What the numbers show is a company that has done the same sensible thing for four years and done it well: open shops, broaden the product range, keep the balance sheet clean, and let the compounding do the work. Revenue has risen every year without exception, return on capital has held near 20–22% throughout, borrowings have been cut rather than raised while the store count grew by a third, and the margin — the hardest thing to move in retail — has just reached a record. That is a consistent operating record by any measure. Two things stop it being more than that. The first is the disclosure vacuum: twenty-seven investor calls since 2018 with not one accessible transcript means no one outside those calls can point to a single target management set and then met or missed. For a company whose case rests on store-rollout economics, the absence of any published same-store sales figure or store-level payback disclosure is a real gap. The second is the shareholding pattern: the promoters have reduced from 73.88% to 69.45% in a year, while foreign institutions went from essentially nothing to 7.54%. That may be a healthy widening of the register, but promoters selling into new institutional demand during the fastest expansion in company history is a combination worth watching rather than assuming away.

5. Bottom line — two verdicts

Durable earning trigger? → YES

The driver is concrete, countable and already producing results. Store count has gone from 291 to more than 380 in under a year, including a "90 stores in 90 days" push that turned a Gujarat chain into a western-India one; revenue rose 70% year-on-year in the June quarter and 34% for FY26; and the mix shift from handsets into televisions, air conditioners and washing machines lifted operating margin to a record 5.34%, which in a five-percent-margin business is a substantial move. Critically, revenue grew 70% against a store base up roughly 30%, so existing stores are selling more, not just new ones being added. The model's economics support the expansion rather than strain it: customers pay cash, debtor days are four, stock turns about six times a year, return on capital has sat near 21% for years, and the entire rollout has been funded with gearing *falling* to 0.04. The honest qualification is cash rather than profit — filling ninety new shops consumed most of the earnings, and FY25 converted only ₹5 cr of ₹20 cr operating profit into operating cash. That is the normal arithmetic of retail expansion and reverses once openings slow, but it means reported profit is running ahead of cash generated, and margins this thin leave little room if the mix shift stalls or the brands tighten dealer terms.

Management consistent? → MAYBE

Everything measurable points the right way. For four straight years management has done exactly what a retail expansion story should do — grown revenue every year and accelerated in the latest, taken the network beyond its home state as it said it would from FY23, executed a ninety-store push rather than merely announcing one, lifted margin through the product-mix change, and paid for all of it while *reducing* debt to almost nothing. There is no drift, no reinvention, no target quietly abandoned. But this verdict asks whether management delivered what it promised, and here nobody outside the room actually knows what was promised. **Twenty-seven investor calls are listed going back to 2018 and not a single transcript is publicly accessible** — eight years of talking to analysts with no record for anyone else. The company also publishes no same-store sales figure, no sales-per-store number and no store-level payback data, which are the three metrics on which a retail rollout should be judged. Add promoter holding sliding from 73.88% to 69.45% in a year while foreign institutions moved in from nothing to 7.54%, and there is enough that cannot be checked to withhold a Yes. This is a Maybe about visibility, not about performance: the operating record on display is genuinely good, and if the company started publishing transcripts and store-level metrics it would likely earn an upgrade quickly.

Prepared from public sources on 31 Aug 2026. No concall transcripts are available on Screener for this company — 27 investor-call entries are listed from July 2018 to August 2026 with no transcript file for any — so this is a global web deep-dive: Q1 FY27 results (board approval 14 Aug 2026) and coverage, FY26 and 9M FY26 results and coverage, BSE corporate filings, published material on the store-network expansion, and Screener.in financial statements, ratios and shareholding data. No management wording is quoted verbatim because none is publicly available. **This is not investment advice. Do your own due diligence.**